

payments to another TII subsidiary, Shanthi Gears. By March 2019, CG Power had amassed over ₹2,000 crore in debt. Its share price nosedived to ₹5 on December 11, 2019, from ₹225 in September 2014. In November 2020, TII acquired a 57% stake in CG Power for ₹800 crore and set a five-year target to turn it debt-free and generate an annual revenue of ₹5,000 crore. Under Vellayan's chairmanship, it accomplished this by March 2022. (It turned net debt-free by FY22).

"Apart from the timely decision of derisking the business, the acquisition and turnaround of CG Power has been a major turning point," says Saji John, Research Analyst at Geojit Financial Services. He says TII's profit has doubled on a consolidated basis, and CG Power's transition from loss to profit has also won them investor confidence. Currently, CG Power's shares hover around ₹400, and its market cap has grown to ₹66,000 crore.

Vellayan attributes the successful turnaround to the emphasis on four key metrics: profit, revenue growth, free cash flow, and return on invested capital. But the IIT Madras alumnus admits the decision to acquire the company "wasn't so scientific or so well thought through." Instinctively, it felt like a very good company. "When that is the case, you will get over the challenges. That is the confidence with which we went into it."

But acquisitions are opportunistic, and TII needed a growth engine, especially as growth in certain core business areas, such as cycles, is depleting. "In situations where CG-like acquisitions are too expensive, how can we use a VC approach, which is being very careful about capital but trying to get into a potentially larger space?"

With its three engines, the company has cut its revenue reliance on the auto sector to 30-35% as a parts supplier. But, a big part of its TI-2 engine is its EV bet, which is expected to bring growth, as India targets transitioning to electric mobility by 2030; and also turn the component maker into an OEM.

Through its subsidiary, TI Clean Mobility Private Ltd (TICMPL), it has rolled out passenger three-wheeler Montra in the south, and e-trucks. Three e-tractor models are in the works. TII has invested ₹750 crore in TICMPL, raised ₹1,250 crore from investors such as Multiple Alternate Asset Management, and is raising ₹1,000 crore

④ Now, Vellayan is focussed on identifying future growth areas for TII

⑤ He stands out for his financial discipline and patience to nurture businesses for long-term growth

Auto & Auto Ancillaries VELLAYAN SUBBIAH

EXECUTIVE VICE CHAIRMAN,
TUBE INVESTMENTS OF INDIA

Revenue from operations	FY23	14,430.95
	9MFY24	11,989.9
Profit before tax	FY23	1,581
	9MFY24	1,284.3
Profit after tax	FY23	1,158.4
	9MFY24	912.8
	FY23 RoE (%)	33.1
	Market Cap	69,918.7

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE

from PE players. Analysts say they are keenly watching how the firm scales up its electric three-wheeler business that earned it hefty valuation multiples.

But Vellayan says he's not worried about the next quarter or the next year's performance. It is a long-term game. "Our focus is on being one of the leading players when the market shifts. If the market takes three years to shift, we want to be patient... If it shifts more next year, we are ready." It's with the same idea that TII has forayed into manufacturing active pharma ingredients, medical consumables, and mobile phone camera lenses to leverage the China+1 opportunity.

"The thing with family businesses is that we are patient," says Vellayan. He is happy to invest even five to seven years to sort out the electronics business. The way he sees it, the core business of engineering, metal formed and industrial products will grow at low double-digits over the next few years through product range expansion and exports. Analyst John agrees that TII's expanding core business to new geographies has helped scale.

For the next several years, the group is betting on a new set of businesses to propel growth. "What we are trying to build in TI is a company that's strong for the next 100 years," says Vellayan. He says there are lessons to be learnt from nature, where nothing is rapid. "You need to be patient to allow something to bloom." Agility and patience—the business mantra of a true yogi. **BT**

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